

Professional Online Academy Vu Topper RM



MGT-201 Financial Management
Update MCQ'S Final Term
By Vu Topper RM



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Question No:1

(Marks:1)

Vu-Topper RM

Which of the following is/are types of inventory?

- A. Work in process
- B. All of the given options**
- C. Finished goods
- D. Raw material

Question No:2

(Marks:1)

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According to Capital asset pricing model, the overpriced stocks have:

- A. Negative Alpha
- B. Positive Alpha**
- C. Zero Beta
- D. Negative Beta

Question No:3

(Marks:1)

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The ratio of standard deviation (SD) to mean of the distribution is known as:

- A. Correlation
- B. None of the above given options
- C. Covariance
- D. Coefficient of variation**

Question No:4

(Marks:1)

Vu-Topper RM

Which of the following is correct formula for contribution margin ratio?

- A. Sales / Variable costs
- B. Fixed cost / Contribution margin per unit
- C. Total contribution margin/ Sales
- D. Sales / Contribution margin per unit**

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Question No:5**(Marks:1)****Vu-Topper RM**

If the trade discount of “2/10 net 30” is missed, then the rational manager should make the payment at which point of time?

- A. None of the given option
- B. As soon as possible
- C. Should delay the payment even after the final due date
- D. On the final due date**

Question No:6**(Marks:1)****Vu-Topper RM**

Generally, gross working capital is defined as:

- A. Current liabilities
- B. Current assets**
- C. Total assets
- D. Current assets minus current liabilities

Question No:7**(Marks:1)****Vu-Topper RM**

Which of the following is/are component(s) of capital asset pricing model (CAPM)?

- A. All of the above given options**
- B. Risk Free Rate of Return
- C. Market Rate of Return
- D. Beta

Question No:8**(Marks:1)****Vu-Topper RM**

Assume that the market risk premium is 15%, risk free rate of return is 5% and beta of an asset X is 0.2. What will be the expected return of asset X under CAPM?

- A. 2%
- B. 8%**

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- C. 5%
- D. 6%

Question No:9

(Marks:1)

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Coefficient of variation is a measure of relative dispersion (risk) per unit of:

- A. Expected volatility
- B. Expected risk
- C. All of the above given options
- D. Expected return**

Question No:10

(Marks:1)

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Which of the following statement is true regarding covariance?

- A. The covariance can never be negative
- B. The covariance can take on any negative, positive or a zero value**
- C. The range of covariance lies between -1 to +1
- D. The covariance is always positive because it is a squared value

Question No:11

(Marks:1)

Vu-Topper RM

Which of the following statement is true regarding covariance?

- A. The covariance can never be negative
- B. The covariance can take on any negative, positive or a zero value**
- C. The range of covariance lies between -1 to +1
- D. The covariance is always positive because it is a squared value

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Question No:12

(Marks:1)

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Keeping in mind the concept of market portfolio, which of the following statement is false?

- A. The market portfolio lies on the security market line
- B. The market portfolio lies on the capital market line
- C. The market portfolio contains both systematic and unsystematic risk
- D. The market portfolio includes all risky assets in the world**

Question No:13

(Marks:1)

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Which of the following is correct formula for contribution margin ratio?

- A. Total contribution margin/ Sales**
- B. Sales / Contribution margin per unit
- C. Sales / Variable costs
- D. Fixed cost / Contribution margin per unit

Question No:14

(Marks:1)

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Assume, ABC Company was following conservative working capital policy and now it wants to move to an aggressive policy. As a result of this shift in policy, the company should expect which of the following?

- A. Decrease in liquidity, while expected profitability will increase**
- B. Expected profitability will increase, while risk will decrease
- C. Both risk and profitability will decrease
- D. Both risk and liquidity will increase

Question No:15

(Marks:1)

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Gross working capital can further be classified according to:

- A. Rate of return and financing method
- B. Time and components**

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- C. Time and financing method
- D. Time and rate of return

Question No:16

(Marks:1)

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Which of the following is/are types of inventory?

- A. Work in process
- B. All of the given options**
- C. Raw material
- D. Finished goods

Question No:17

(Marks:1)

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Which of the following is/are types of inventory?

- A. Work in process
- B. All of the given options**
- C. Raw material
- D. Finished goods

Question No:18

(Marks:1)

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Which of the following is/are component(s) of capital asset pricing model (CAPM)?

- A. Risk Free Rate of Return
- B. Beta
- C. All of the above given options**
- D. Market Rate of Return

Question No:19

(Marks:1)

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Systematic risk is also known as:

- A. Avoidable Risk
- B. Undiversifiable Risk**
- C. Diversifiable Risk

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D. Controllable Risk

Question No:20

(Marks:1)

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Which of the following statement is true regarding covariance?

- A. The covariance is always positive because it is a squared value
- B. The covariance can never be negative
- C. The range of covariance lies between -1 to +1
- D. The covariance can take on any negative, positive or a zero value**

Question No:21

(Marks:1)

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Which of the following statement is TRUE, if contribution margin is positive?

- A. Profit will only occur if the contribution margin is less than the fixed expenses
- B. Loss will occur if the contribution margin is higher than fixed expenses
- C. Both profit and loss can occur
- D. Profit will occur**

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